

11 - Job Costing Summary

Introduction to Job Costing

- Job costing is a crucial aspect of business as it accounts for approximately 99.9% of revenue, which is generated through jobs or projects, with only a small percentage coming from order entry or over-the-counter sales.
- The jobs involve various transactions, including purchase ordering, accounts payable, payroll, invoicing, and accounts receivable, which touch the majority of modules in WebApps.

Job Types and Master Files

- Master files, such as job type masters, play a significant role in job costing, with common job types including contract, inspection, service, and time and material jobs.
- Contract type jobs are typically larger projects with a budget, where costs and revenue are tracked, while inspection and service jobs are often smaller, quick projects that integrate with AIA and WebApps.
- Time and material jobs are used by specialty segments, where contracts are based on labor prices, material markups, and labor rates, rather than fixed prices.

Job Cost Standards and Coding Structure

- Job cost standards are used to tie cost codes to specific GL accounts, ensuring consistency across companies, with cost codes often being consistent for labor, materials, and subcontractors.
- The cost codes are typically structured in a way that labor costs start with a specific number, such as 100, materials start with another number, and subcontractors start with a different number, to maintain consistency.
- Companies have different cost codes, but for consistency, they all start with a specific number, such as a five, and the GL

accounts are accordingly numbered, with cost codes starting with 200s being in the 200 cost codes and those with 400s being in the 400 cost code, following a specific GL name numbering scheme.

Labor Productivity Standards and Default Configurations

- Labor productivity standards are set up when a job is created, and these are phase templates that can be used to break down a work breakdown structure into different areas or categories, with costs applied to phases and cost codes.
- Job types, such as the C type for contract, have a master template that defaults to a specific cost code standard, and this template assigns a list of cost codes and phases to the job.
- The service type also has a cost code standard, which assigns service cost codes and GL accounts to the job, and uses the same template for labor phases.

Creating and Configuring a New Job

- When creating a new job, the user assigns a department, site, and customer, and the system can automatically create job numbers or allow the user to assign their own job number, depending on the company's preferences.
- The job type selection determines the default cost codes and labor phases, and the user can choose to follow the default scheme or make changes as needed.
- The job creation process involves selecting a job type, such as a contract type, and then entering a job description and additional basic information, with the system defaulting to the standard cost codes and phases for that job type.
- The system allows assigning specific project managers to a job, which drives downstream reporting and enables running reports by a specific project manager, and also includes fields for salesperson and foreman, as well as insurance information if applicable.
- The system includes fields for taxability, such as state, local codes, and county codes, and also has fields for start date and

estimated completion dates, which can be automatically updated by the user.

- The system displays an enter date, which is automatically populated with today's date when a record is added, and also includes fields for bonding information and basic overall information.
- The billing information section includes fields for terms, such as net30, which can default from the customer master, and also allows assigning a billing table, which can pull in billing rates and pay rates.
- The system also includes fields for customer purchase order, maintenance contract, and additional tax liability or tax information, which can be used to display on invoices.
- The cost codes and applicable GL accounts can be automatically defaulted, and phases can be edited or created manually, with options for phase numbering schemes, such as three-character or six-character schemes.

Budget Creation and Management

- The system allows creating budgets for contract jobs, with options for pending codes, such as original, which means the budget has been approved, and also includes fields for description and change order information.
- When creating a change order, it can be left in a pending state if it needs to be sent to the customer for approval, and it will not be included in contract amounts for reporting purposes until it's marked as approved.
- There are other options available, such as manager reallocations, voiding, or marking as a mistake in estimate, which can help identify increases to budget costs and track changes to the project.
- Phases can be automatically populated, and quantities of hours and dollar amounts can be added to each phase, allowing for the creation of a detailed budget.
- Cost codes can be assigned budget amounts, and as costs are associated with them, actual costs will start to populate, providing a clear picture of the project's expenses.

- The contract amount, total costs, and profit percentage can be calculated and validated to ensure accuracy, and once the budget is posted, it will be available in the database file and can be viewed in reports.

Project Financial Inquiry and Purchase Order Creation

- The project's budget and costs can be viewed in the inquiry section, including profit and loss, outstanding purchases, and cost types, providing a comprehensive overview of the project's financial status.
- Users can create purchase orders for the project by selecting the job PO and adding vendors, which involves entering basic header information and selecting the required supplies.
- To create a purchase order, select the job number and cost code, and the department and GL account will automatically populate, allowing for easy confirmation of the order.
- The system can handle multiple items and vendors, and users can enter each item number or create a single line item for the entire order, which will be matched with the vendor invoice.
- Once purchase orders are created, the outstanding purchases will be updated in the job cost inquiry, showing the total amount of the orders.

Processing Vendor Invoices

- When a vendor invoice is received, the accounts payable department can process it by entering the invoice number, date, due date, and amount, and the system will pre-populate the information from the purchase order header.
- The system will also pre-populate the quantity and other details, allowing the user to review and confirm the information, and make any necessary changes, such as updating the quantity received or putting items on back order.
- If there are any discrepancies between the invoice total and the detail, the system will flag an error, and the user will need to investigate and resolve the issue, which may involve contacting the vendor or updating the purchase order.

- The system has a tolerance for minor discrepancies, typically around 2-3%, and users can review and edit the information before confirming the invoice.
- Finally, the user will receive a proof or edit copy to review and verify the accuracy of the information, including the job number, GL accounts, and dollar amounts, before finalizing the invoice.

Tracking Actual Costs: Invoices and Payroll

- The job cost inquiry now shows an actual cost of \$1,000, and the percentage of actual spend, with outstanding purchases dropping from \$5,000 to \$4,000, and this information can be viewed in the job cost inquiry tab.
- The purchase order tab displays two different purchase orders, one for \$4,000 and one for \$5,000, with the \$4,000 purchase order showing \$1,000 has been invoiced and now has a zero balance, while the \$5,000 purchase order remains open.
- The accounts payable tab accounts for the transaction as an actual cost of the job, and this information can be viewed in the AP tab.
- Payroll can be posted to the job, with the option to manually enter payroll or integrate with a time entry system, and in this example, 20 hours of labor are entered for an individual with a budget of 100.
- The payroll register can be run, and the payroll can be posted, allowing for the viewing of labor actual costs in the job cost inquiry under the P&L tab, with the ability to drill into more detail, such as cost codes and specific payroll information.
- The job cost inquiry also allows for drilling into more detail, such as viewing the payroll that was just processed, including hours worked, hourly rate, taxes, and fringes, with the option to select a date range for the information.
- The payroll tab provides actual details of what employee worked, how many hours they worked, and the associated costs, including labor, taxes, and fringes, allowing for review and analysis of the payroll information.

Customer Billing: Process and Considerations

- The process of billing a customer for work completed on a job involves creating a new transaction in the AR transaction entry, invoice entry, and selecting the contract type, with the invoice date and due date being updated based on the terms.
- The invoice is created with a specific amount, in this case \$10,000, and the system auto-populates the previous billing amount and accounts for how much needs to be billed accordingly, with the invoice showing the contract amount, change orders, and total contract amount.
- The invoice is reviewed and confirmed, with the option to print out and send to the customer, and the system allows for the creation of multiple invoices and the ability to delete and edit them as needed.
- The invoice details are reviewed, including the dollar amount, tax, and retention, and any errors are checked before posting the invoice, with a recap report being generated to show the total dollar amounts of invoices being posted.
- After posting the invoice, the job cost inquiry can be accessed to view the actual billing amount, with the P&L tab showing the \$10,000 for actual billing, and the GL accounts that are applicable are also displayed.
- The schedule of values is used to determine the amount to bill the customer, with the project managers completing the schedule and the system using this information to calculate the billing amount, and the budget for the job is taken into account when determining the billing amount.
- The labor and AP costs associated with the job are also taken into account when billing the customer, with the system using this information to calculate the total cost of the job and determine the billing amount.

System Updates and Job Information Management

- The system allows for tracking of job costs and billings, with the ability to view details of transactions, such as invoices and payments, and to update the system with new information, including budget changes.

- Invoices can be created and posted, with the system updating the accounts receivable and accounts payable accordingly, and the balance due on an invoice can be viewed and updated as payments are made.
- A process called "post width info" is used to update the system with new job information, which can be run manually or automatically on a nightly schedule, and this process updates the job costs and billings for all jobs in the system.
- The "post width info" process can take several minutes to run, depending on the number of records being updated, and it can be run for a specific department or for the entire company.

Job Cost Reporting and Analysis

- The system also allows for running reports, such as the whip report, which shows the estimated values, contract amounts, estimated cost, and estimated gross profit for a job, and this report can be filtered by date and job number.
- Different types of jobs, such as contract jobs, service jobs, and inspection jobs, can be tracked and reported on separately, with contract jobs being shown in the contract in progress report, and service and inspection jobs being shown in either the fixed price service or TNM category.
- The system provides a valuable tool for tracking and managing job costs and billings, and the ability to run reports and update the system with new information makes it a useful resource for managing jobs and projects.

Analyzing Over/Under Billings and Revenue Recognition

- The budget section has been completed, and the total cost to date is \$4,479, which includes \$3,400 in labor and \$63 in additional costs, with \$10,000 in billings to date and no payments received yet.
- The system calculates over and under billings based on the costs to date and the progress of the job, which is used to create monthly journal entries that identify the revenue that can be accounted for in the current month.

Utilizing the Data Query Tool

- A query tool is available to look at data in database files, which can be accessed under GP reports, and allows users to select the file name they want to look at and choose the fields they want to display.
- The query tool typically includes the company number as the first line, but there are scenarios where this may not work properly, and users can add query parameters to pull up specific records.
- The tool can be used to pull data results for everything or for a specific record, and users can select the fields they want to display and the sequence in which they want to see them.
- The company number is not always the first line in the file, and in such cases, users need to put in the field name they want to search for to get the correct results.
- The discussion involves using a system to look up records, and typing in a job number can result in "no records found" if not specified correctly, such as adding "RICO" to specify a line, which makes it easier to search the database.
- The system allows for easy searching without having to log into other systems, such as "400 with production box", and can be used to quickly look at something by selecting parameters from drop downs, similar to using SQL scripts.